CASH FLOWS FROM FINANCING ACTIVITIES

Learning Outcome

- describe the steps in the preparation of direct and indirect cash flow statements, including how cash flows can be computed using income statement and balance sheet data

As with investing activities, the presentation of financing activities is identical, regardless of whether the direct or indirect method is used for operating cash flows.

Cash Flow from Financing activities: Long-Term Debt and Common Stock

The change in long-term debt, based on the beginning 2018 (ending 2017) and ending 2018 balances in Exhibit 10, was a decrease of USD500. Absent other information, this indicates that Acme retired USD500 of long-term debt. Retiring long-term debt is a cash outflow relating to financing activities.

Similarly, the change in common stock during 2018 was a decrease of USD600. Absent other information, this indicates that Acme repurchased USD600 of its common stock. Repurchase of common stock is also a cash outflow related to financing activity.

Computing Dividends Paid

Recall the following relationship:

Beginning retained earnings + Net income – Dividends = Ending retained earnings

Based on this relationship, the amount of cash dividends paid in 2018 can be determined from an analysis of retained earnings, as shown in Exhibit 32.

Exhibit 32: Analysis of Retained Earnings

Beginning balance of retained earnings (from the balance sheet)	USD2,876
Plus net income (from the income statement)	2,210
Minus ending balance of retained earnings (from the balance sheet)	(3,966)
Equals dividends paid	**USD1,120**

Note that dividends paid are presented in the statement of changes in equity.

EXAMPLE 8

Computing Cash Flow from Financing Activity

1. Jaderong Plinkett Stores reported net income of USD25 million. The company has no outstanding debt. Using the information in Exhibit 33 from the comparative balance sheets (in millions), what should the company report in the financing section of the statement of cash flows in 2018?

Exhibit 33: Jaderong Plinkett Stores

Balance Sheet Item	31 December 2017	31 December 2018	Change
Common stock	USD100	USD102	USD2

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Additional paid-in capital common stock	USD100	USD140	USD40
Retained earnings	USD100	USD115	USD15
Total stockholders' equity	USD300	USD357	USD57

A. Issuance of common stock of USD42 million; dividends paid of USD10 million
B. Issuance of common stock of USD38 million; dividends paid of USD10 million
C. Issuance of common stock of USD42 million; dividends paid of USD40 million

Hide Solution

Solution:

A is correct. The increase of USD42 million in common stock and additional paid-in capital indicates that the company issued stock during the year. The increase in retained earnings of USD15 million indicates that the company paid USD10 million in cash dividends during the year, determined as beginning retained earnings of USD100 million plus net income of USD25 million minus ending retained earnings of USD115 million, which equals USD10 million in cash dividends.

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